has turned out to be one of the world's great integrated software companies. The stock became too popular, and we sold again. All told, we made about $100 million on SAP.

One can, in short, still turn up businesses abroad that others know little about—businesses growing at very fast rates. This is especially true in small-company stocks. For several years at least, I see enormous potential.

Risk Capital and National Cultures

One interesting anomaly deserves attention, however. By any standard, the U.S. economy is very mature. Yet we have some of the world's fastest-growing companies. With an occasional exception like SAP, companies like Wal-Mart and Sun Microsystems simply don't exist in Germany, for example. And I think our freewheeling culture is the reason. A whole industry exists to supply venture capital to people with an attractive idea. It's very respectable here to leave your job as an engineer at General Electric and start your own company, and you will get support. People will lend you money. People will do business with you. Perhaps more crucially, if you fail, it's no big deal. You can go back and get a job as an engineer, maybe even your old job at GE. In Germany, if you start a business and fail, you'll be known as a bankrupt and be ostracized. There is a social stigma attached to that particular kind of failure. You're made to feel as though you've dishonored your name for generations.

In Japan, the rate of formation of new companies is impressive, and despite the long cultural history that stresses the importance of saving face, there isn't the same sense of disgrace associated with entrepreneurial failures. But it's hard for new companies to become important companies, to poke their way up through the very tight, interlocking structure of Japanese business, especially if the entre-